

Before the
FEDERAL MARITIME COMMISSION

Docket No. 26-08

EALYTEX GLOBAL INC.

v.

COSCO SHIPPING LINES CO., LTD.

DECLARATION OF LUNA ZHANG

IN OPPOSITION TO RESPONDENT’S MOTION FOR PARTIAL SUMMARY JUDGMENT

I, Luna Zhang, hereby declare:

1. I am over 18 years of age and make this declaration based upon my personal knowledge unless otherwise stated.

2. I am the Shipping Manager of Complainant Ealytex Global Inc. (“EGI” or “Complainant”). I am authorized to make this declaration on behalf of EGI and have personal knowledge of the facts set forth herein by virtue of my position, my review of EGI’s business records and the correspondence relating to the matters described below.¹

3. This action concerns unpaid refunds due and owing to EGI pursuant to a FMC supervised settlement agreement entered into between COSCO Shipping Lines Co., Ltd. and EGI. Under that agreement, among other things, COSCO agreed to reimburse EGI and its freight forwarders (Golden State Drayage Company and Columbia Container Lines USA c/o Never Ending Express, Inc.) for amounts paid to COSCO with respect to certain invoices referenced in the Charge Complaint. Rather than pay an

¹ Terms used but not defined herein shall have the meaning ascribed to them in the Verified Complaint dated May 19, 2026.

acknowledged obligation, COSCO now moves by motion for summary judgment in a continued effort to avoid its repayment obligations to EGI.

4. By way of background, on or about August 16, 2023, EGI filed a charge complaint with the Federal Maritime Commission against COSCO. In the Charge Complaint, EGI disputed demurrage, detention, per diem, and storage charges assessed by COSCO in an amount no less than \$360,310.00, including the specific invoices at issue in this matter totaling \$91,545.00. *See Verified Complaint (“Compl.”) ¶ 23.* EGI expressly brought the Charge Complaint on behalf of itself *and its agents, i.e.*, EGI’s freight forwarders.

5. Importantly, COSCO never once objected to EGI bringing the Charge Complaint on behalf of itself and its freight forwarders, nor did COSCO attempt to invoke the “direct purchaser” rule as a defense. Rather, in an effort to resolve the Charge Complaint, COSCO agreed to delete, refund, waive, and/or make adjustments to the amounts referenced in the Charge Complaint, including refunding EGI’s freight forwarders with respect to the Invoices.

6. To that end, on October 24, 2023, Investigator John Clausen of the FMC’s Bureau of Enforcement, Investigations, and Compliance, expressly confirmed that COSCO was aware of the refunds due to EGI’s freight forwarders pursuant to the Charge Complaint. A copy of this correspondence is annexed hereto as Exhibit A.

7. COSCO’s agreement to refund the amounts paid by EGI’s freight forwarders was memorialized in certain settlement correspondence issued by the FMC on October 30, 2023 (the “FMC Agreement”). A copy of the FMC Agreement is annexed hereto as Exhibit B.

8. Despite the FMC Agreement and COSCO’s obligation to refund EGI’s freight forwarders, COSCO has failed and refused to refund the \$91,545.00 at issue, thus necessitating the filing of the Verified Complaint. What’s worse, rather than pay what is owed, COSCO engaged

in a years-long effort to falsely lead EGI and the FMC to believe that it was diligently processing the refunds required under the FMC Agreement. *See* Compl. ¶ 24.

9. The following sampling of correspondence best illustrates the breadth of COSCO's prolonged bad-faith refusal to satisfy its obligations under the FMC Agreement:

(i) On March 6, 2024, James Houghtalin of COSCO apologized for the "longer than expected delay" in issuing the refunds. Mr. Houghtalin attributed the delay to a system conversion, stating that COSCO was "pushing to finalize so we can issue the refund locally," and indicated that the matter had been escalated to headquarters. A copy of this correspondence is annexed hereto as Exhibit C.

(ii) On March 7, 2024, FMC Investigator Clausen advised that Paul Nazzaro, Vice President of COSCO, had escalated the matter to COSCO's legal team and that answers were expected the following day. A copy of this correspondence is annexed hereto as Exhibit D.

(iii) On April 23, 2024, Mr. Houghtalin stated that he had reached out to COSCO headquarters and that "we should have the invoice updates finalized this week." A copy of this correspondence is annexed hereto as Exhibit E.

(iv) On April 26, 2024, FMC Investigator Clausen advised that the FMC was placing "extreme pressure" on COSCO and had informed Mr. Houghtalin that if the matter was not resolved promptly, the Commission would reopen the case and refer it to the Office of Enforcement for an Order to Show Cause. A copy of this correspondence is annexed hereto as Exhibit F.

(v) On April 29, 2024, COSCO conveyed that the matter was "nearly completed" and that headquarters confirmation was expected overnight. A copy of this correspondence is annexed hereto as Exhibit G.

(vi) On December 5, 2024, COSCO confirmed to Investigator Clausen that the Invoices

were “confirmed as fully waived” as of December 2, 2024 and that the matter was resolved. A copy of this correspondence is annexed hereto as Exhibit H.

(vii) Despite these representations, COSCO continued to refuse to satisfy its payment obligations, necessitating EGI to involve FMC’s CADRS division. COSCO, however, continued the same tactics, advising the FMC that it was working on “consolidating the invoices.” A copy of this correspondence is annexed hereto as Exhibit I.

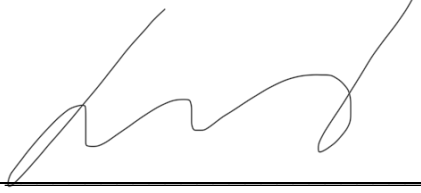
10. Now, after spending years before the FMC and expending valuable resources seeking to avoid its payment obligations under the FMC Agreement, COSCO seeks to invoke the “direct purchaser” rule as means to continue the same theatrics.

11. As set forth above, COSCO’s position is wholly inconsistent with the Charge Complaint, the express terms of the FMC Agreement requiring COSCO to delete, refund, waive, and adjust the invoices identified in the Charge Complaint, and the continued representations of COSCO that such refunds would be issued. This underhanded and dishonest behavior must not be rewarded and the motion must be denied.

12. For the avoidance of doubt, annexed hereto as Exhibit J are copies of the invoices issued to EGI by Golden State Drayage Company and Columbia Container Lines USA c/o Never Ending Express, Inc. These invoices demonstrate that EGI’s freight forwarders acted in the capacity as agents of EGI, that the amounts due under the invoices are in fact a continuing obligation of EGI, and that EGI has suffered a direct injury resulting from EGI’s payment(s) made to its freight forwarders. In short, EGI has suffered a direct injury resulting from the Invoices and has standing to bring its claims before the FMC.

I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

Dated: New York, New York
July 24, 2026

By: 

Luna Zhang